

PROJECT INSIGHTS & BUSINESS FINDINGS

Executive Overview Insights

- The business generated consistent year-over-year growth in revenue and profitability, demonstrating successful scaling of operations.
- Revenue growth was accompanied by profit growth, indicating that increasing sales did not come at the expense of profitability.
- Revenue Per Session and Profit Per Session improved over time, suggesting better monetization of website traffic and improved customer conversion efficiency.
- Product performance analysis revealed that a small number of products contributed a significant share of overall revenue and profit, highlighting the importance of high-performing products within the portfolio.
- Average Order Value remained stable while overall revenue increased, indicating that business growth was primarily driven by higher transaction volume and improved customer acquisition.

Marketing Analytics Insights

- Google Search emerged as the dominant customer acquisition channel, generating the highest volume of website traffic and contributing significantly to revenue generation.
- Marketing funnel analysis identified substantial drop-offs between product viewing and cart activity, indicating opportunities to optimize product pages, user experience, and call-to-action strategies.
- Landing page performance varied considerably, suggesting that certain pages were more effective at converting visitors into customers.
- Marketing campaigns demonstrated differing levels of effectiveness, highlighting opportunities to reallocate marketing budgets toward higher-converting channels.
- Conversion Rate remained healthy despite increasing traffic volumes, suggesting that the business successfully maintained acquisition quality while scaling.
- Session growth translated into revenue growth, confirming a strong relationship between marketing performance and overall business outcomes.

Customer Behavior Insights

- More than 32,000 unique customers were acquired during the analysis period.
- Customer Lifetime Value (CLV) averaged \$61.16 per customer, providing a benchmark for evaluating future acquisition and retention strategies.

- Repeat Purchase Rate was only 1.86%, indicating that customer retention represented one of the largest growth opportunities for the business.
- Purchase Frequency Distribution revealed that the majority of customers made only a single purchase, while very few customers returned for a second or third order.
- Average Orders Per Customer remained close to one, further confirming that most customers did not become repeat buyers.
- Customer acquisition performance was strong, but customer retention performance remained weak.

Cross-Sell Analysis Insights

- Cross-Sell Rate increased dramatically from 2.18% in 2013 to more than 25% in 2014.
- Cross-Sell performance remained stable above 25% during 2015, demonstrating sustainable improvements rather than temporary success.
- Nearly one out of every five products sold was an additional cross-sell item, indicating effective product recommendation and basket expansion strategies.
- The business became significantly more effective at increasing basket size and extracting more value from each transaction.
- Cross-selling contributed meaningfully to revenue growth without requiring additional customer acquisition.

Business Patterns Identified

Pattern 1: Strong Acquisition, Weak Retention

The company successfully attracted a large number of new customers but struggled to convert those customers into repeat buyers. This pattern is supported by high customer acquisition numbers combined with a Repeat Purchase Rate of only 1.86%.

Pattern 2: Revenue Growth Driven by More Customers

Revenue growth was primarily supported by customer acquisition and increased transaction volume rather than repeat purchasing behavior.

Pattern 3: Effective Cross-Selling Strategy

Although retention remained low, the business successfully increased revenue per transaction through cross-selling and additional product purchases within the same order.

Pattern 4: Marketing Successfully Generated Qualified Traffic

Traffic growth translated into revenue growth and healthy conversion rates, indicating that marketing efforts were attracting relevant visitors rather than low-quality traffic.

Pattern 5: Product Concentration Effect

A small number of products generated a disproportionately large share of revenue and profit, suggesting that top-performing products played a critical role in overall business success.

Strategic Recommendations

- Develop customer loyalty and retention programs to increase repeat purchase behavior.
- Implement personalized email marketing and post-purchase engagement campaigns.
- Continue investing in high-performing acquisition channels such as Google Search.
- Expand product recommendation systems to further improve cross-sell performance.
- Optimize product pages and checkout processes to reduce funnel drop-offs.
- Focus marketing efforts on increasing customer lifetime value rather than solely acquiring new customers.

Final Business Conclusion

The business demonstrated strong customer acquisition capabilities, healthy marketing performance, and highly effective cross-selling strategies. However, customer retention remained the primary challenge. While the company successfully maximized value from individual transactions, future growth opportunities are likely to come from improving repeat purchase behavior, increasing customer loyalty, and extending customer lifetime value.